Office of the Washington State Auditor
Pat McCarthy

Accountability Audit Report

Vancouver School District No. 37

For the period September 1, 2020 through August 31, 2021

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Office of the Washington State Auditor
Pat McCarthy

May 5, 2022

Board of Directors
Vancouver School District No. 37
Vancouver, Washington

Report on Accountability

Thank you for the opportunity to work with you to promote accountability, integrity and openness in government. The Office of the Washington State Auditor takes seriously our role of providing state and local governments with assurance and accountability as the independent auditor of public accounts. In this way, we strive to help government work better, cost less, deliver higher value and earn greater public trust.

Independent audits provide essential accountability and transparency for District operations. This information is valuable to management, the governing body and public stakeholders when assessing the government's stewardship of public resources.

Attached is our independent audit report on the District's compliance with applicable requirements and safeguarding of public resources for the areas we examined. We appreciate the opportunity to work with your staff and value your cooperation during the audit.

Sincerely,

Pat McCarthy, State Auditor

Olympia, WA

Americans with Disabilities

In accordance with the Americans with Disabilities Act, we will make this document available in alternative formats. For more information, please contact our Office at (564) 999-0950, TDD Relay at (800) 833-6388, or email our webmaster at webmaster@sao.wa.gov.

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AUDIT RESULTS

Results in brief

This report describes the overall results and conclusions for the areas we examined. In those selected areas, District operations complied, in all material respects, with applicable state laws, regulations, and its own policies, and provided adequate controls over the safeguarding of public resources.

In keeping with general auditing practices, we do not examine every transaction, activity, policy, internal control, or area. As a result, no information is provided on the areas that were not examined.

About the audit

This report contains the results of our independent accountability audit of Vancouver School District No. 37 from September 1, 2020 through August 31, 2021.

Management is responsible for ensuring compliance and adequate safeguarding of public resources from fraud, loss or abuse. This includes the design, implementation and maintenance of internal controls relevant to these objectives.

This audit was conducted under the authority of RCW 43.09.260, which requires the Office of the Washington State Auditor to examine the financial affairs of all local governments. Our audit involved obtaining evidence about the District's use of public resources, compliance with state laws and regulations and its own policies and procedures, and internal controls over such matters. The procedures performed were based on our assessment of risks in the areas we examined.

Based on our risk assessment for the year ended August 31, 2021, the areas examined were those representing the highest risk of fraud, loss, abuse, or noncompliance. We examined the following areas during this audit period:

- Use of restricted funds – professional learning and local revenue for enrichment activities
- Compliance with supplemental contracts for enrichment activities
- Payroll direct deposits and vendor electronic payments – evaluated design of controls
- Procurement – public works
- Compliance with public works projects – change orders
- Accounts payable – credit cards
- Open public meetings – compliance with minutes, meetings and executive session requirements
- Financial condition – reviewing for indications of financial distress

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SUMMARY SCHEDULE OF PRIOR AUDIT FINDINGS

Vancouver School District No. 37
September 1, 2020 through August 31, 2021

This schedule presents the status of findings reported in prior audit periods.

Audit Period:	**Report Ref. No.:**	**Finding Ref. No.:**
September 1, 2019 through August 31, 2020	1028172	2020-001

Finding Caption:

The District did not have adequate controls in place to ensure compliance with state procurement laws.

Background:

The District awarded $8,887,385 in public works contracts to a contractor who did not meet all the criteria to be determined a responsible bidder. Additionally, the District did not follow competitive procurement requirements when $254,004 of work was added to an existing contract.

Status of Corrective Action: (check one)

☒ Fully Corrected ☐ Partially Corrected ☐ Not Corrected ☐ Finding is considered no longer valid

Corrective Action Taken:

Since the cited oversight of the new statutory requirements for responsible bidders, Purchasing staff has added this confirmation of prevailing wage training to its bid/quote review process. Further, Purchasing has trained staff in our Planning Dept. how to confirm the prevailing wage training status, on any quotes or bids they administer prior to sending the recommendation to award to Purchasing and possibly the Board, depending on size.

All Change Orders continue to be reviewed by a minimum of two staff members in our Planning Dept. with the Purchasing Manager often brought in as a third set of eyes, within VPS. Also architects and possibly other specialists, such as engineers, consultants, etc, are asked to review, as needed. These reviews insure necessity of the work, appropriateness of costs and whether original contract scope/specifications addressed the required work, Change orders over $50,000 are also reviewed and ultimately approved by the Board. The problem with the

change order referenced in the audit finding had to do with size and how different the scope of the work was compared to the original contractor bid/specifications. In light of SAO prevailing in this difference of opinion, VPS' multi-layered, internal review of change order requests now includes this sensitivity to the connectedness to the original scope/specifications of the project.

RELATED REPORTS

Financial

Our opinion on the District's financial statements and compliance with federal grant program requirements is provided in a separate report, which includes the District's financial statements. That report is available on our website, http://portal.sao.wa.gov/ReportSearch.

Federal grant programs

We evaluated internal controls and tested compliance with the federal program requirements, as applicable, for the District's major federal programs, which are listed in the Schedule of Findings and Questioned Costs section of the separate financial statement and single audit report. That report is available on our website, http://portal.sao.wa.gov/ReportSearch.

INFORMATION ABOUT THE DISTRICT

Vancouver School District No. 37 serves approximately 20,750 Clark County students, kindergarten through 12th grade. The District has four high schools, six middle schools, 21 elementary schools, two buildings that serve 6th through 12th grade, and six alternative programs.

An elected, five-member Board of Directors governs the District. Board Members are elected to staggered, four-year terms. The Board appoints a Superintendent to oversee the District's daily operations as well as its approximately 3,100 employees. For the 2020-2021 fiscal year, the District had revenues of $492.1 million.

Contact information related to this report

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Information current as of report publish date.

Audit history

You can find current and past audit reports for Vancouver School District No. 37 at http://portal.sao.wa.gov/ReportSearch.

ABOUT THE STATE AUDITOR'S OFFICE

The State Auditor's Office is established in the Washington State Constitution and is part of the executive branch of state government. The State Auditor is elected by the people of Washington and serves four-year terms.

We work with state agencies, local governments and the public to achieve our vision of increasing trust in government by helping governments work better and deliver higher value.

In fulfilling our mission to provide citizens with independent and transparent examinations of how state and local governments use public funds, we hold ourselves to those same standards by continually improving our audit quality and operational efficiency, and by developing highly engaged and committed employees.

As an agency, the State Auditor's Office has the independence necessary to objectively perform audits, attestation engagements and investigations. Our work is designed to comply with professional standards as well as to satisfy the requirements of federal, state and local laws. The Office also has an extensive quality control program and undergoes regular external peer review to ensure our work meets the highest possible standards of accuracy, objectivity and clarity.

Our audits look at financial information and compliance with federal, state and local laws for all local governments, including schools, and all state agencies, including institutions of higher education. In addition, we conduct performance audits and cybersecurity audits of state agencies and local governments, as well as state whistleblower, fraud and citizen hotline investigations.

The results of our work are available to everyone through the more than 2,000 reports we publish each year on our website, www.sao.wa.gov. Additionally, we share regular news and other information via an email subscription service and social media channels.

We take our role as partners in accountability seriously. The Office provides training and technical assistance to governments both directly and through partnerships with other governmental support organizations.

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